



Insurance and Pensions Commission (IPEC)

Pensions Report

For the Quarter Ended

30 September 2018

Disclaimer

This report does not cover the public-sector pension scheme, National Social Security Authority (NSSA). The report is based on unaudited financial statements of insured, stand-alone self-administered funds, as well as self-administered funds under insurers and professional fund administrators. The report, including any attachments, has been prepared by the Insurance and Pensions Commission solely for informative purposes to the pension industry stakeholders, and may not be reproduced, redistributed, communicated to a third party or relied upon by any other person or for any other purpose without the Commission's prior written consent. The Commission does not accept any liability if the report is used for any other purpose other than for the above-mentioned intended purpose.

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Definition of Terms

Insured Fund – A fund under the administration of an insurance company, whose contributions are used to buy assets which are registered in the name of the insurer, charged with the administration of the fund and not the in the name of that fund.

Self-Administered Fund – For the purposes of this report, self-administered funds are those under dedicated fund administrators and insurers but their assets are registered in the respective names of the funds.

Stand-Alone Fund – These are self-administered funds which own and control their administration structures (having own employees) for the purpose of operating the fund.

Pension Fund member – in relation to a fund, means any person who is a member of that fund in terms of the rules thereof.

Active member – Members of a fund who are actively contributing to the fund, including those on contribution holiday for a period of time.

Pensioner – a person in receipt of pension benefits from a pension fund.

Deferred Pensioner – A member whose pension benefits are preserved within the fund until the member attains the retirement age.

Suspended pensioner – A pensioner whose pension benefits are withheld by the pension fund on account of not providing proof of his/her existence.

Members with unclaimed benefits – Members of a fund who have not claimed their benefits when they were entitled to receive such benefits and cannot be located by the fund.

1 Industry Overview

The key performance indicators for the pensions industry as at 30 September 2018 are as shown in Table 1.

Table 1: Key Highlights of the Pensions Industry as at 30 September 2018

Indicator	Insured Funds	Self-Administered Funds	Stand-Alone Self-Administered Funds	Total
Number of Funds	912	173	15	1,100
Active funds	341	119	15	475
Members ¹	338,084	120,675	331,803	790,562
Share of total membership	42.77%	15.26%	41.97%	100.00%
Total Income (\$)	155,653,835	217,474,314	177,511,546	550,639,695
Total Contributions (\$)	63,991,611	82,789,779	94,502,386	241,283,777
Rental Income (\$)	736,980	11,724,405	28,969,340	41,430,725
Investment Income ²	53,777,333	121,407,571	56,714,203	228,637,811
Investment Income over total assets	4.42%	7.57%	3.10%	4.91%
Total Expenditure (\$) ³	67,103,200	88,290,103	104,047,290	259,440,593
Total Benefits Paid (\$)	59,492,894	67,613,644	68,770,754	195,877,292
Expenses/Contributions ⁴	11.75%	23.56%	22.56%	20.04%
Expenses/Total Income	4.83%	8.97%	12.01%	8.78%
Income Surplus(Deficit)	88,550,634	129,184,212	73,464,255	291,199,102
Total Assets (\$)	1,217,870,674	1,603,630,644	1,831,553,704	4,653,396,707
Total Assets per member	3,602	13,289	5,520	5,886
Percentage of Total Assets	26.17%	34.46%	39.36%	100.00%
Prescribed Assets (\$)	132,591,091	237,579,124	64,703,173	434,873,388
Prescribed Assets Ratio	10.89%	14.82%	3.53%	9.35%
Contribution Arrears (\$)	44,204,415	69,498,155	519,433,488	633,136,058

Notes:

1. Total membership excludes fund beneficiaries (widows and orphans of members).
2. Investment income is made up of rental income, dividends, interest on investments, profit on disposal on assets and fair value gains.
3. Total Expenditure for the industry includes benefits paid.
4. Expenses are calculated as total expenditure excluding items such as expenditure on benefits, transfers to reserves and revaluation reserves.

As shown in Table 1 above, the pensions industry had 1,100 registered occupational pension funds as at 30 September 2018, up from 1,047 funds as at 30 June 2018. The change in the number of registered funds was mainly a result of improved reporting by Old Mutual Life Assurance which had been omitting a total of 58 inactive, preservation and annuitants' funds in the quarterly returns of the previous reporting periods.

The industry was composed of 1,051 defined contribution schemes and 49 defined benefit schemes. The high number of defined contribution schemes reflects a preference for defined contribution schemes by most sponsoring employers within the industry. The preference is on the back of funding challenges associated with defined benefit schemes.

1.1 Membership

Total membership increased by 191,008 members from 586,756 members as at 30 June 2018, to 790,562 members as at 30 September 2018. The increase is on account of the afore-stated change in the number of reported pension schemes. The breakdown of membership from 31 March 2018 to 30 September 2018 is shown in Table 2 below:-

Table 2: Quarterly Breakdown in Membership

Membership type	Number of Members as at.		
	31 March 2018	30 June 2018	30 September 2018
Actives	362,150	365,018	377,377
Pensioners	32,628	29,742	38,554
Deferred Pensioners	123,175	121,625	311,705
Suspended Pensioners	16,990	17,351	12,930
Unclaimed Benefits	51,813	51,724	49,996
Total	586,756	585,460	790,562

1.2 Asset Quality

The pensions industry had an asset base of \$4.65 billion as at 30 September 2018, reflecting a 6.16% increase from the \$4.38 billion as at 30 June 2018. The trend of the asset base from 31 March 2017 to 30 September 2018 is shown in figure 1 below:-

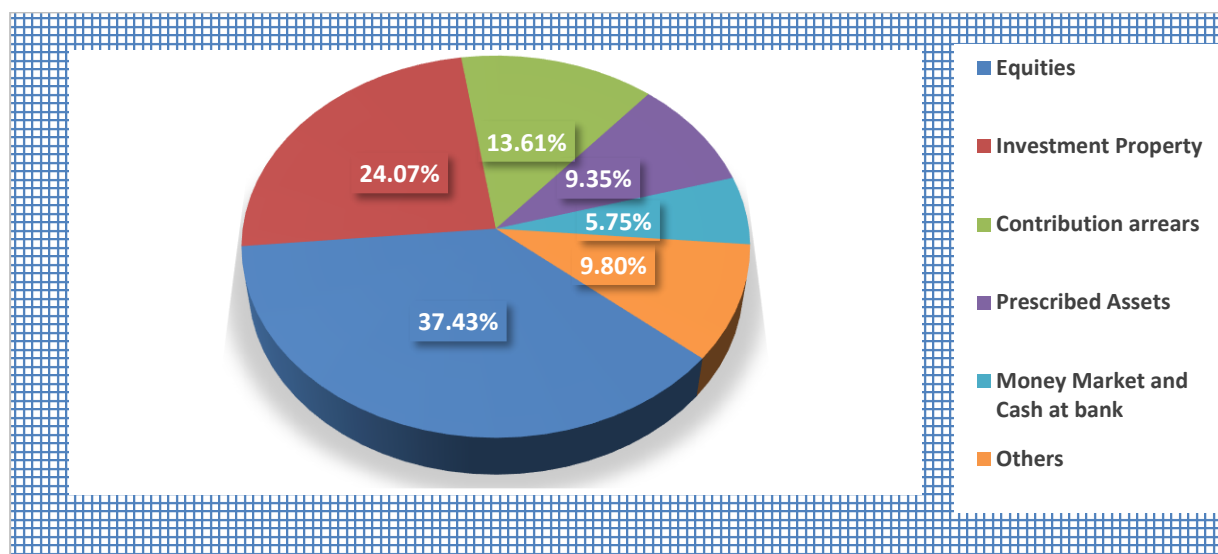
Figure 1: Trend in Industry Assets Growth



As indicated above, the pensions industry exhibited a steady asset growth since the beginning of the year 2018. The growth was attributable to contribution income which continued to be received and investment returns in the form of fair value gains.

The distribution of the industry's assets as at 30 September 2018 is shown in figure 2 below:-

Figure 2: Distribution of Total Assets for the Pensions Industry



As shown in figure 2 above, real assets namely listed equities and investment properties totalling \$2.86 billion accounted for 61.50% of the total assets. The composition of the investment portfolio reflects the long-term nature of pension liabilities, as well as the need to hedge against inflation and preserve value. The industry had 3.46% of its \$1.74 billion equities invested in unquoted securities indicating a high quality equities portfolio.

Contribution arrears amounting to \$633.14 million accounted for 13.61% of the industry's assets and continue to be a major concern within the industry as they compromise the benefits that will be received by pensioners on retirement.

Investments in prescribed assets increased from \$323.13 million as at 30 June 2018 to \$434.87 million as at 30 September 2018. The sector's investments in prescribed assets constituted 9.35% of total assets, which was below the minimum regulatory requirement of 10%.

1.3 Liabilities

The industry's total liabilities amounted to \$4.83 billion vis-à-vis total assets of \$4.65 billion as at 30 September 2018, indicating a mismatch of \$204.18 million. The mismatch was mainly a result of defined benefit liabilities not being fully funded by the respective sponsoring employers owing to viability challenges.

Pension benefit arrears decreased by 16.13% from \$83.97 million reported as at 30 June 2018 to \$72.31 million as at 30 September 2018. The Commission noted with concern that stand-alone funds accounted for 93.18% of the pension benefit arrears as at 30 September 2018. The pension benefits arrears for the sector were partly a result of liquidity challenges emanating from contribution arrears and asset-liability mismatch by industry players.

Unclaimed benefit liabilities declined from \$28.73 million as at 30 June 2018 to \$28.03 million as at 30 September 2018. The Commission continues to urge funds to improve their management of information systems and to come up with strategies to identify and inform members and their beneficiaries to reduce the likelihood of cases of unclaimed benefits.

1.4 Earnings

The industry reported a net surplus of \$291.20 million for the 9 months ended 30 September 2018, down from \$618.03 million reported for the same period in 2017.

The relatively lower net surplus for the 9 months ended 30 September 2018 was mainly due to the decrease of total income from \$861.06 million reported for the 9 months ended 30 September 2017 to \$550.64 million during the period under review. The decline in total income was mainly attributable to the decrease in investment income from \$600.44 million for the 9 months ended 30 September 2017 to \$228.64 million, during the period under review. The decrease emanated from a reduction in fair value gains on equities.

Total expenditure for the industry during the period under review increased to \$243.03 million from \$259.44 million, reported during the comparative period in 2017. Expenditure for the 9 months ended 30 September 2018 was driven by pension benefits totalling \$195.88 million, accounting for 75.50% of total expenditure. Total industry administration expenses increased from \$58.24 million during the 9 months ending 30 September 2017 to \$68.77 million for the comparative period in 2018.

The administration expenses for the 9 months ended 30 September 2018 translated to average expense ratios of 20.04% and 8.76% based on total contributions and total income respectively. The same ratios were 18.15% and 4.70% for the same period in 2017. The worsening of these ratios is a cause for concern and the Commission is working on policy measures that will result in cost containment across the industry.

2 INSURED SCHEMES

2.1 Industry Architecture

The number of life offices administering Insured pension funds remained unchanged at 6 as at 30 September 2018. The life offices had a combined 912 Insured pension schemes on their books, which reflects a notable change from the 860 funds reported as at 30 June 2018.

The change was predominantly attributable to improved reporting by one life insurer, namely Old Mutual Life who had not been reporting on 58 registered, but inactive funds and annuitants' funds.

The distribution of the insured pension funds among the different life insurance companies, as at 30 September 2018 and 30 June 2018 is as shown in Table 3 below: -

Table 3: Breakdown of Insured Schemes by Insurer

	Number of Insured Funds	
Life Assurer	30 September 2018	30 June 2018
1. CBZ Life	6	3
2. Fidelity Life	71	71
3. First Mutual Life	183	186
4. Old Mutual Life	347	289
5. ZB Life	151	151
6. Zimnat Life	154	160
Total	912	860

2.2 Membership

As at the reporting date, there was a drastic increase in Insured schemes' aggregate membership from 130,002 recorded in the previous quarter to 338,084 members. The inclusion of the said inactive funds in the current reporting period saw a combined spike in the number of pensioners, deferred pensioners and suspended pensioners from a combined

total of 5,748 members as at 30 June 2018 to 204,019 as at 30 September 2018. The bulk of the deferred pensioners emanated from the hyperinflationary period.

There was a 2.84% increase in the number of active members from 119,065 as at 30 June 2018 to 122,441 as at 30 September 2018. The registration of new funds during the inter-reporting period resulted in a remarkable increment in the new entrants which were 8,346 for the third quarter, compared with 1,596 reported during the second quarter of the year.

Table 4 below, indicates the different categories of the insured funds membership.

Table 4: Insured Funds Membership

Membership Class	Membership	
	30 June 2018	30 September 2018
New Entrants	1,596	8,346
Active Members (Excluding New Entrants)	119,065	122,441
Pensioners	543	7,806
Deferred Pensioners	5,142	194,600
Suspended pensioners*	63	1,613
Members with Unclaimed Benefits	3,593	3,278
<u>Total Membership</u>	<u>130,002</u>	<u>338,084</u>
<i>Exits</i>	<i>1,521</i>	<i>6,241</i>

**Suspended pensioners are members who were previously in receipt of monthly pension, but whose pensions have been suspended pending verification of continued existence.*

2.3 Asset Quality

The third quarter insured schemes' asset portfolio constituted 26.17% of the pension industry's total assets of \$4.65 billion. The total assets for insured pension funds grew from \$1.12 billion as at 30 June 2018 to \$1.22 billion as at 30 September 2018. The increase in total assets was attributable to a 5.60% appreciation in the equities portfolio, and contribution income received during the interquartile period. Figure 3 below, shows the asset growth trend from March 2017 to the reporting date:-

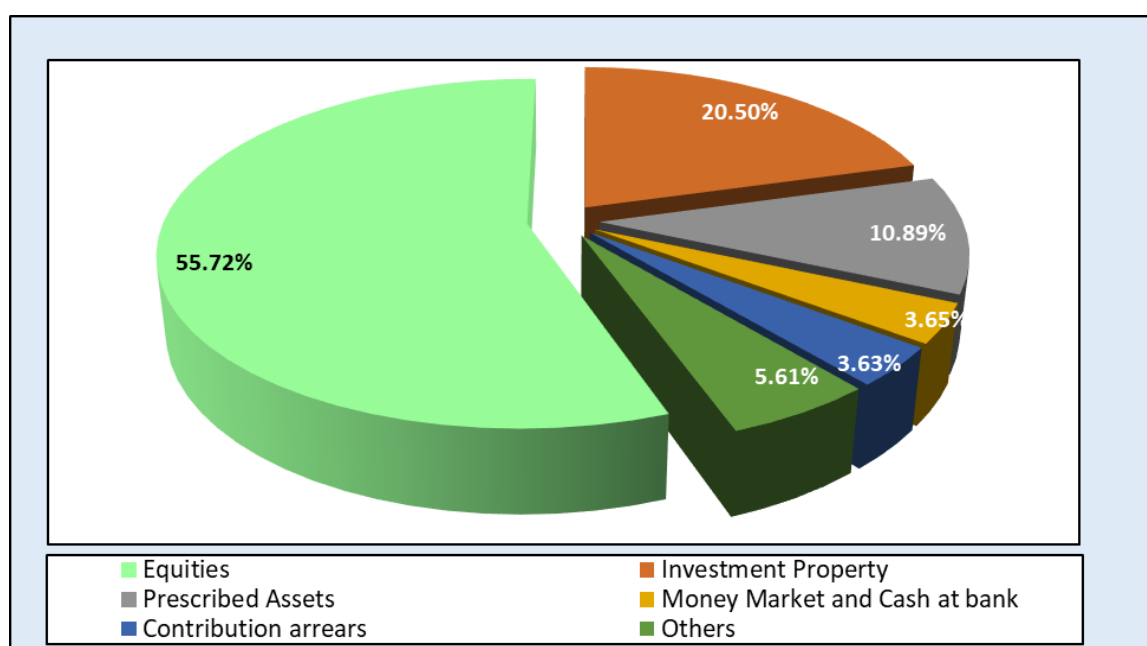
Figure 3: Insured Funds Assets Growth Trend



The inclusion of the previously omitted schemes did not significantly affect the industry's asset values because the inactive funds had relatively small asset balances and the assets of the annuitants' and preservation funds were already being accounted for, with the omissions being in the membership statistics only.

The spread of the segment's total asset base across different asset classes as at 30 September 2018 is as shown in Figure 4 below:-

Figure 4: Asset Mix of Insured Schemes



Notable asset switches were recorded during the inter-quartile period, which saw a decline in the value of properties portfolio, offset by an increase in the values of current investments and prescribed assets. As at the reporting date, equities amounted to \$678.60 million and constituted 55.72% of the overall Insured schemes asset portfolio, reflecting a breach of the investment guideline enshrined in Circular 1 of 2013, which limits investments in equities to 50% of the fund's assets. Investment property trailed behind equities, aggregating \$249.72 million and constituting 20.50% of the segment's overall assets. Compositely, equities and properties constituted a significant stake of 76.22% of the overall Insured funds' total assets. The investment profile was consistent with the long-term nature of pension funds' liabilities.

Insured funds were compliant with the prescribed asset investment requirement, having invested a total of \$132.59 million, which constituted 10.89% of the aggregate insured schemes asset base as at the reporting date. The Commission therefore commends this compliance with the applicable regulatory prescribed assets threshold and continues to urge the industry to invest in prescribed assets in support of the country's development agenda. Current assets stood at \$88.86 million as at 30 September 2018, constituting 7.30% of the total insured schemes assets.

The asset quality was however, compromised by contribution arrears of \$44.20 million, which constituted 3.63% of the total assets portfolio. Trustees are therefore urged to aggressively engage employers to pay the outstanding contributions.

2.4 Earnings

For the period under review, insured pension funds received income amounting to \$113.87 million, up from the \$105.17 million received for the comparable period in 2017. The main contributors to income were contributions and asset fair value adjustments, which constituted 94.41% of the funds' total income.

A significant portion of Insured schemes' assets is invested in guaranteed funds such that, the majority of investment returns earned by the funds, will be in the form of annual bonus declarations which are declared in arrears. Therefore the funds' total income as at the reporting date excludes the bonus declarations.

Cumulative total expenditure for the period ended 30 September 2018 was \$67.10 million, an increase from the \$59.37 million reported for the same period in 2017. This resulted in a net income position of \$46.77 million. Insured schemes' administrative expenditure for the period ended 30 September 2018 totaled \$7.61 million, translating to average expense ratios of 11.75% and 6.60% based on cumulative contributions and total income respectively.

The total benefits paid to members in the form of monthly pension benefits, commutations, death and withdrawal benefits amounted to \$59.49 million, constituting 88.66% of the insured pension funds' total expenditure.

The Statements of Comprehensive Income for Insured Schemes for the six months ended 30 June 2018 are shown on Annexure 3.

3 SELF-ADMINISTERED FUNDS

3.1 Industry Architecture

There were 173 registered self-administered funds as at 30 September 2018, up from 172 reported as at 30 June 2018. The funds were being administered by 5 administrators and 5 life offices.

Table 5 below shows the number of self-administered pension funds as at 30 September 2018 and 30 June 2018:-

Table 5 : Number of Insured Pension Funds as at 30 June 2018 and September 2018

Name of Administrator/Insurer*	30 June 2018	30 September 2018
Professional Administrators		
Capitol Insurance Broker	1	1
Comarton Consultants	28	29
Marsh Employee Benefits	44	44
Minerva Benefit Consulting	59	59
Zimbabwe Insurance Brokers	5	5
Sub-total	137	138
Life Companies		
Fidelity Life Assurance Company	1	1
First Mutual Life Assurance Company	5	5
Old Mutual Life Assurance Company	25	25
Nyaradzo Life Assurance Company	2	2
Zimnat Life Assurance Company	2	2
Sub-total	35	35
Grand Total	172	173

*Not all registered life offices (life assurance companies) are involved in pension administration

3.2 Membership

Total membership for self-administered funds decreased from 120,813 as at 30 June 2018 to 120,675 members as at 30 September 2018. The reduction in membership was a result of member exits amounting to 4,366 being higher than new entrants amounting to 3,259, consequentially resulting in the decrease in the number of active members.

Self-administered pension funds accounted for 15.26% of the pension industry's 790,562 membership as at 30 September 2018.

The various categories of self-administered fund membership as at 30 September 2018 and 30 June 2018 are depicted in table 6 below:-

Table 6: Distribution of Membership for Self - Administered Funds

Membership Class	Number of members as at.	
	30 June 2018	30 September 2018
New Entrants	1,982	3,259
Active Members (excluding new)	92,104	91,705
Pensioners	6,897	6,925
Deferred Pensioners	11,866	12,257
Suspended Pensioners	3,582	2,879
Unclaimed Benefits	4,382	3,650
Total Membership	<u>120,183</u>	<u>120,675</u>
<i>Exits</i>	<i>1,042</i>	<i>4,366</i>

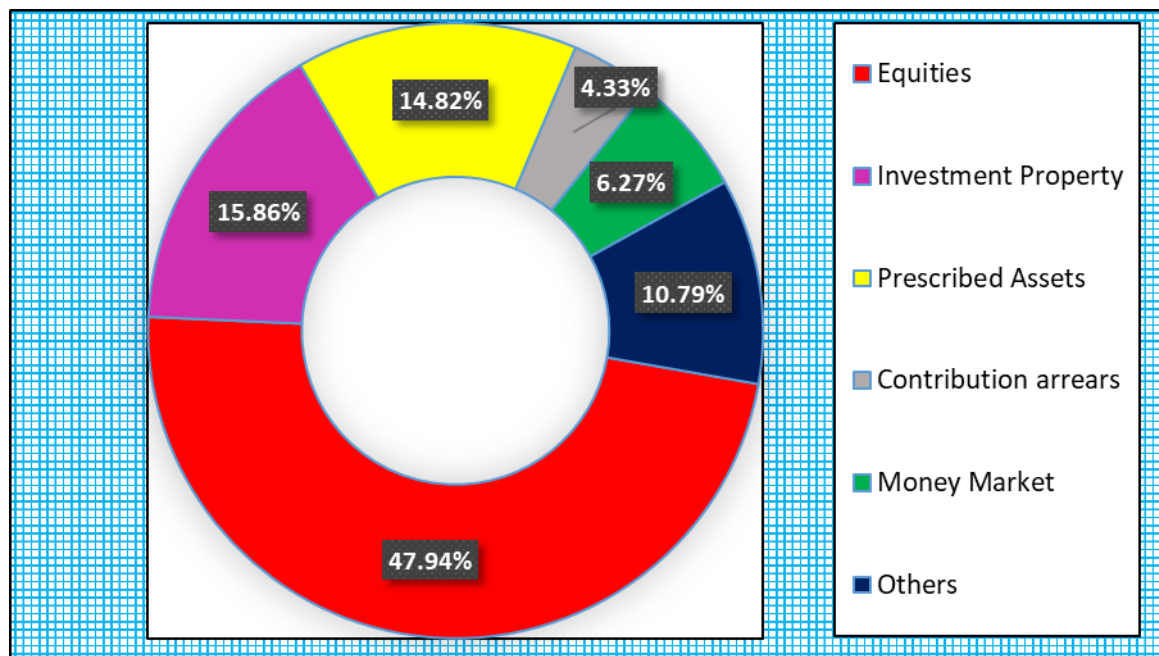
3.3 Asset Quality

There was a 7.79% increase in the total assets for self-administered pension funds to \$1.60 billion as at 30 September 2018, up from \$1.49 billion as at 30 June 2018. The main reason for the increase was an improvement in the subscription to prescribed securities.

The sector's assets contributed 34.46% of the pension industry's \$4.65 billion total assets. The sector's asset base translated to an average capital accumulation of \$13,289 as at 30 September 2018.

Figure 5 below shows the distribution of self-administered funds' assets as at 30 September 2018:-

Figure 4: Asset Mix of Self-Administered Funds Assets



For more details, refer to Annexure 6 on the Consolidated Statement of Financial Position.

As shown in Figure 5 above, the total asset base for self-administered funds was skewed towards equities investments, totaling \$768.72 million and accounting for 47.94% of total assets as at 30 September 2018. This was substantially on account of the need to preserve value as equities tend to hedge against inflation.

The \$237.58 million invested in prescribed assets as at 30 September 2018, translated to 14.82% of the total assets, indicating a 30% increase from the \$182.35 million value recorded as at 30 June 2018. Some of the prescribed assets that were subscribed to include CBZ Agro Bills, ZINARA Road Rehabilitation Bond, Agribank and FBC Agro Bills. Notwithstanding the increase in subscription to prescribed assets, 50% of the fund administrators still had funds which were non-compliant with the stipulated 10% minimum prescribed asset requirement.

The sector's contribution arrears, which accounted for 4.33% of total assets, decreased by 20% from \$87.10 million reported as at 30 June 2018, to \$69.50 million as at 30 September 2018. Whilst there was a reduction in contribution arrears, the proportion to total assets is

still a cause for concern. The Commission urges non-complying institutions to submit solid payment plans to extinguish their arrears.

3.4 Earnings

Self-administered funds reported a total income of \$217.47 million, and total expenditure of \$88.29 million, resulting in a net income of \$129.18 million for the 9 months ending 30 September 2018.

The income for the sector was driven by contributions and fair value gains. The two income drivers had a combined value of \$131.74 million, translating to 60.58% of total income for the period under review. The total income for self-administered pension funds was, however, 62.17% lower than \$574.85 million reported in the same period in 2017. This was mainly on account of lower revaluation gains on equities as compared to the corresponding period during the previous year.

The expenditure of \$88.29 million was driven by benefit payments totaling \$67.61 million which accounted for 76.58% of total expenditure for the 9 months under review. See annexure 5 for detailed Statements of Comprehensive Income for self-administered pension funds.

The total expenditure was 18.72% higher than the \$74.36 million reported as at 30 September 2017. The comparative increase was largely due to higher investment management and administration expenses during the 9 months ending 30 September 2018.

Administrative expenditure totaled \$4.49 million, translating to expense ratios of 8.97% and 23.56% based on total income and total contributions respectively. The Commission is concerned by the high administrative expense ratios and is in the process of putting in place measures to contain administrative expenditures in order to improve and protect member values.

4 STAND-ALONE PENSION FUNDS

4.1 Overview of Stand-Alone Funds Sector

The pension industry had 16 stand-alone pension funds as at 30 September 2018. The various stand-alone-pension funds and the relevant statistics are shown in annexures 7 and 8.

4.2 Membership

Total membership for stand-alone pension funds decreased from 334,645 members as at 30 June 2018 to 331,803 as at 30 September 2018.

The sector accounted for 41.97% of the industry's total membership of 790,562 members, as well as having 61.79% of the industry's 38,554 pensioners. The distribution of membership by class in the sector as at 30 September 2018 and 30 June 2018 is as shown in table 7 below:-

Table 7: Membership Statistics for Stand-Alone Pension Funds

Membership Category	Number of Member as at.	
	30 June 2018	30 September 2018
New entrants	3,155	5,508
Active members	147,116	146,118
Pensioners	22,302	23,823
Deferred Pensioners	104,617	104,848
Suspended Pensioners	13,706	8,438
Unclaimed benefits	43,749	43,068
Total Membership	334,645	331,803
<i>Exit members</i>	0	277

As shown in Table 7 above, the sector had 43,068 members with unclaimed benefits, which constituted 12.98% of the stand-alone membership. The sector's unclaimed benefits constituted 87.9% of the industry's 48,996 members with unclaimed benefits as at 30 September 2018. Unclaimed benefits have remained high in the sector owing to labor

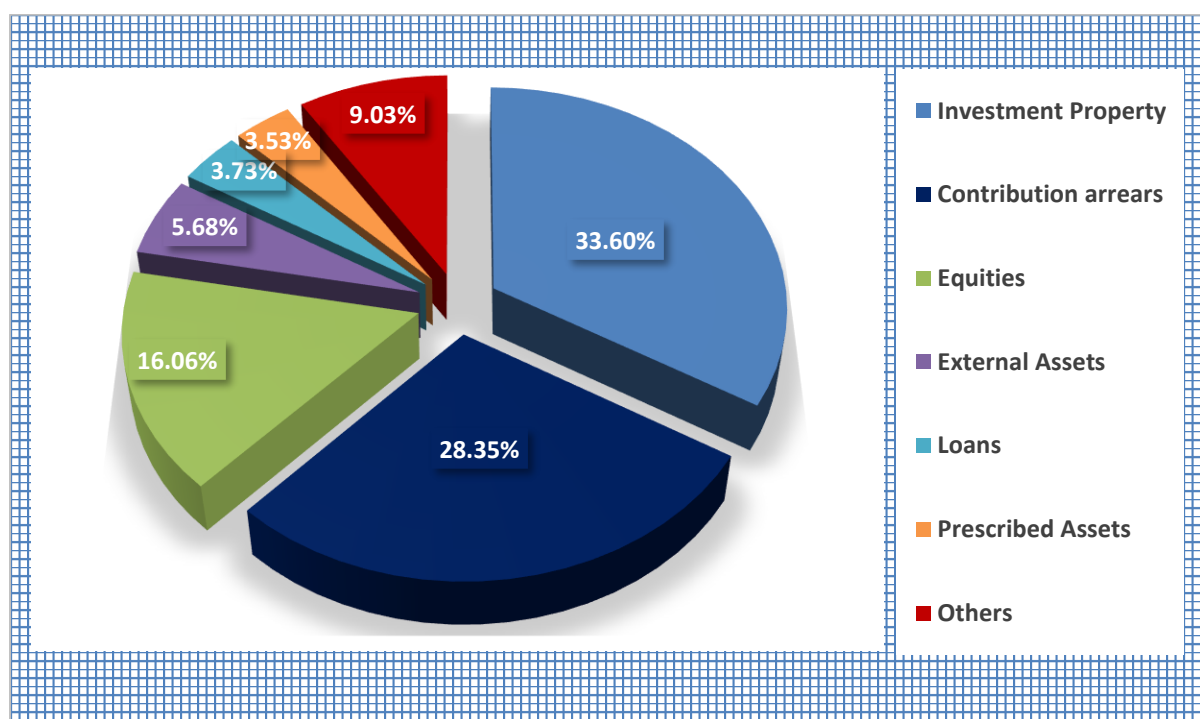
migration and closure of companies. Nevertheless, pension funds should continue to trace these members. The Commission is also alerting the public of the existence of the unclaimed benefits through its consumer education and awareness campaigns.

4.3 Asset Base

Stand-alone pension funds reported total assets amounting to \$1.83 billion as at 30 September 2018, constituting 39.36% of the industry's total assets. The total asset base increased from the \$1.78 billion reported as at 30 June 2018.

The total assets as at 30 September 2018 translated to an average asset accumulation of \$5,520 per member. The distribution of assets for stand-alone pension funds as at 30 September 2018 is shown in Figure 6.

Figure 5: Spread of Assets for Stand-Alone Funds



For further details, please refer to Annexure 8

The sector reported \$519.43 million contribution arrears, inclusive of interest thereon, constituting 28.35% of the total assets. Contribution arrears increased from \$502.53 million reported as at 30 June 2018.

The contribution arrears were largely concentrated in the Communications and Allied Industry Pension Fund, the Local Authorities Pension Fund, the Mining Industry Pension Fund

and the Zimbabwe Electricity Industry Pension Fund. Arrears for these pension funds accounted for 83.24% (\$432.39 million) of the industry's total contribution arrears.

The contribution arrears have contributed to liquidity challenges. The liquidity challenges were further exacerbated by rental arrears totaling \$44.02 million as at 30 September 2018. As at 30 September 2018, stand-alone funds had \$64.70 million invested in prescribed assets, translating to 3.53% of the total assets. The level of investments in prescribed assets was below the regulatory requirement of 10%, with only 4 pension funds being compliant with the requirement. Non-compliance with the prescribed asset requirement is mainly attributable to contribution arrears and investment in properties that are adversely affecting the liquidity positions of pension funds in the sector.

4.4 Liabilities

Stand-alone funds reported arrear pension benefits totaling \$67.38 million, as at 30 September 2018. This was mainly a result of low liquidity within the affected pension funds. Meanwhile, reported unclaimed benefits totaled \$17.99 million decreasing from the \$20.83 million reported as at 30 June 2018. An amount of \$11.62 million, which is 64.62% of the \$17.99 million unclaimed benefits liabilities pertain to members from the Mining Industry Pension Fund (MIPF). The unclaimed benefits for the MIPF is due to the high immigrant workforce, who worked in the mining industry and left the country for neighboring and home countries without claiming their entitlements. Respective pension funds should continue to make efforts to locate the affected members. Refer to Annexure 8 for a detailed breakdown of Stand-Alone pension funds' liabilities.

4.5 Earnings

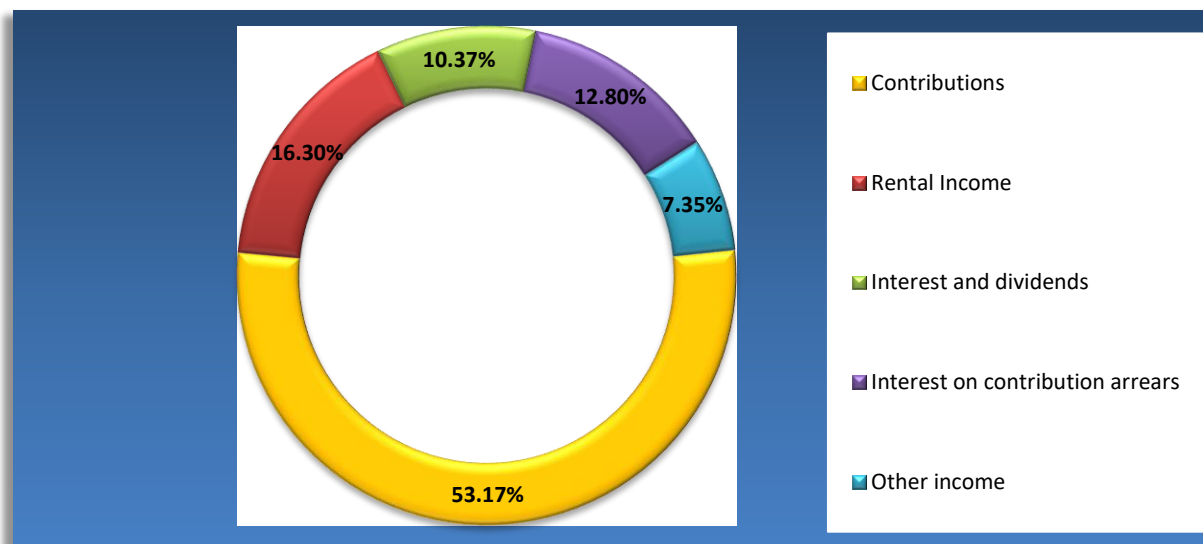
Stand-alone funds reported total income and total expenditure amounting to \$177.51 million and \$104.25 million respectively, resulting in a net income of \$73.46 million for the 9 months ended 30 September 2018.

The income was mainly driven by contributions and rental income totaling \$94.50 million and \$28.97 million respectively, accounting for a combined 69.47% of total income for the sector.

The total income for stand-alone funds for the 9 months ended 30 September 2018 was marginally lower than the \$181.04 million earned for the same period in 2017.

The breakdown of income for stand-alone pension funds for the 9 months ended 30 September 2018 is detailed in Figure 7. See Annexure 7 for the detailed consolidated statement of comprehensive income of standalone funds.

Figure 6 : Income Breakdown for Stand-Alone Funds

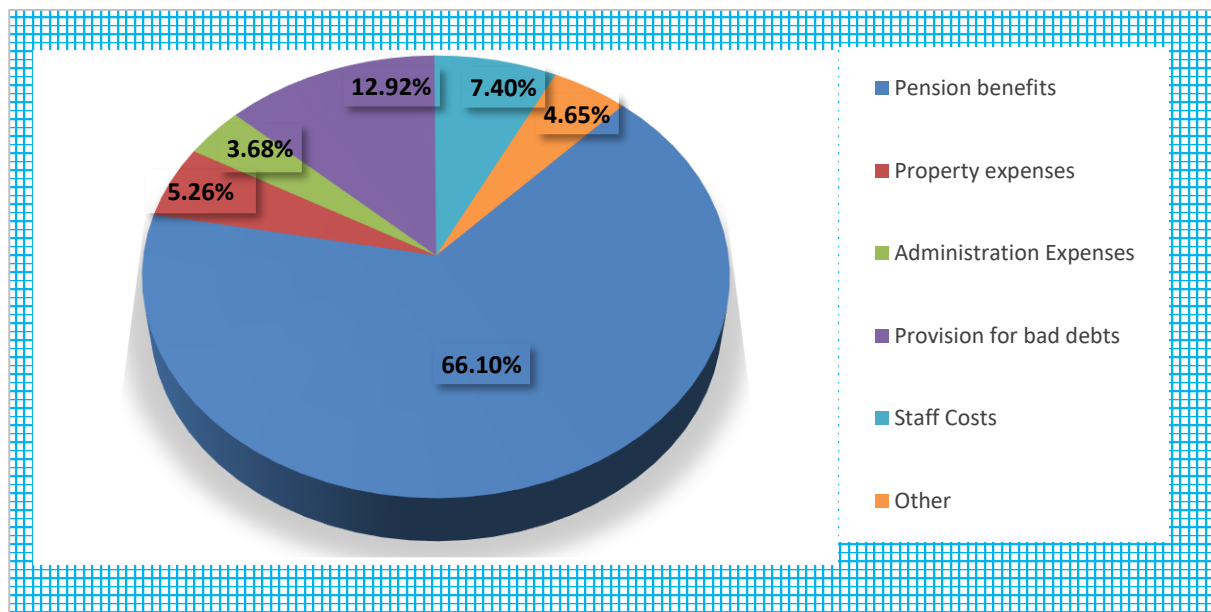


As shown in figure 7 above, the \$104.05 million total expenditure for stand-alone pension funds was lower than the \$109.30 million total expenditure reported by stand-alone pension funds for the 9 months ended 30 September 2017.

The expenditure for the period under review was predominantly driven by pension benefits amounting to \$68.76 million, accounting for 66.08% of total expenditure for the sector. Out of the total expenditure, \$45.75 million went towards payment of monthly pensioners' benefits.

The breakdown of the total expenditure for stand-alone pension funds for the period under review is shown in Figure 8 below:-

Figure 7: Expenditure Spread for Stand-Alone Funds



Stand-alone pension funds reported \$35.28 million in administrative expenses, translating to average administration expenses-to-contributions and administration expenses –to-total income ratios of 22.56% and 12.01% respectively. Staff costs for the 9 months amounting to \$7.70 million accounted for 21.84% of total administration costs. The high expense ratios are not sustainable in the long-run as they will result in fund members losing value on their contributions over time.

4 SECTION D: ANNEXURES

Annexure 1: Consolidated Industry Statement of Comprehensive Income for the 9 months ended 30 September 2018

	INSURED	SELF ADMINSTERED	STAND ALONE	TOTAL
Income				
Year to date Contributions (Including arrears)	63,991,611	82,789,779	94,502,386	241,283,777
Interest on contribution arrears	-	1,566,512	22,748,550	24,315,062
Transfer from other funds	(136,546)	7,032,320	2,866	6,898,640
Rental Income	736,980	11,724,405	28,969,340	41,430,725
Interest from Investments	4,621,505	15,303,544	12,155,174	32,080,223
Dividends from investments	1,095,116	12,884,139	6,279,733	20,258,988
GLA Premiums received (paid)	(3,763,260)	607,860	(14,778)	(3,170,178)
Profit on sale of assets	3,806,708	32,543,736	3,543,540	39,893,984
Fair Value Gains on equities	43,517,024	48,951,746	2,505,120	94,973,891
Other	41,784,697	4,070,273	6,819,614	52,674,584
Total Income	155,653,835	217,474,314	177,511,546	550,639,695
EXPENDITURE				
Benefits				
Year to date monthly pension benefits	11,852,102	9,957,510	45,752,176	67,561,788
Retrenchments and retirements	1,366,723	30,138,252	15,979,845	47,484,821
Full/part commutations paid after initial commutation	22,022,298	6,565,255	1,161,415	29,748,968
Withdrawals (resignations and dismissal)	20,440,496	12,389,788	3,026,553	35,856,836
Deaths	71,361	3,156,812	1,104,022	4,332,196
Other	3,739,914	5,406,027	1,746,743	10,892,684
Total Benefits Paid	59,492,894	67,613,644	68,770,754	195,877,292
Deductions by NEC	-	-	2,786	2,786
Staff costs	-	-	7,702,946	7,702,946
Admin Expenses	5,133,627	4,494,611	3,825,755	13,453,993
Investment Management Expenses	1,143,280	9,832,274	821,438	11,796,992
Actuarial fees	8,794	344,951	146,773	500,519
Audit fees	22,879	429,695	157,864	610,438
Legal fees	-	95,474	196,204	291,678
Board Fees	-	145,544	958,512	1,104,056
IPEC Levies	222,928	350,875	346,974	920,777
Bank Charges	30,956	208,604	423,247	662,807
Sundry expenses	783,846	768,032	-	1,551,878
Subscriptions	62,941	187,061	48,191	298,193
Property Expenses	110,687	2,124,836	5,469,792	7,705,314
Transfer to reserves	90,368	1,171,268	507,707	1,769,343
Provision for bad debtors	-	-	13,444,478	13,444,478
Others	-	523,234	1,223,870	1,747,104
Total Administration Expenditure (sub-total)	7,610,306	20,676,459	35,276,537	63,563,301
TOTAL EXPENDITURE	67,103,200	88,290,103	104,047,290	259,440,593
Surplus/ (Deficit)	88,550,634	129,184,212	73,464,255	291,199,102

Annexure 2: Consolidated Industry Statement of Financial Position as at 30 September 2018

	INSURED	SELF ADMINSTERED	STAND ALONE	TOTAL
ASSETS				
Operating Assets				
Property		-	2,637,330	2,637,330
Motor vehicles		48,000	2,397,694	2,445,694
Furniture and equipment		-	826,339	826,339
Computer systems and equipment		-	1,190,498	1,190,498
Other		-	18,732	18,732
Total operating assets	-	48,000	7,070,594	7,118,594
Investment Assets (Non- Current)				
Investment Property	249,716,664	254,307,204	615,791,148	1,119,815,016
Equities - Quoted	662,450,564	759,894,972	261,061,425	1,683,406,961
- Unquoted	16,136,907	8,833,764	33,228,778	58,199,450
Prescribed Assets - Government Stock	1,750,040	42,248,773	31,295,893	75,294,706
- Other prescribed assets	18,465,448	187,742,554	29,763,812	235,971,814
Fixed interest securities e.g. private bonds and debentures	14,523	15,929,016	6,279,201	22,222,739
Loans and Mortgages on Property (excluding staff)	-	935,917	29,467,995	30,403,913
Staff loans and Mortgages	157,732	2,546,571	6,398,728	9,103,031
Other loans	-	-	31,863,745	31,863,745
External Assets	-	-	104,085,354	104,085,354
Long-term deposits	2,955,905	133,990	11,723,737	14,813,632
Gauranteed Fund	-	42,891,252	341,685	43,232,937
Other	364,784	36,188,790	3,430,332	39,983,905
Total non-current investment assets	952,012,568	1,351,652,802	1,164,731,833	3,468,397,203
Investment Assets (Current)				
Prescribed Assets - Government Stock	14,937,965	816,415	2,875,989	18,630,370
- Other prescribed assets	97,437,637	6,771,382	767,478	104,976,498
Fixed interest securities	-	187,882	-	187,882
Cash at Bank	18,144,671	27,230,743	17,875,337	63,250,751
Money Market investments	44,495,321	100,499,228	59,298,104	204,292,653
Staff loans	-	4,195	677,371	681,567
Dividends and interest receivable	0	3,077,169	2,484,637	5,561,807
Other	46,437,312	37,445,610	6,991,511	90,874,434
Total current investment assets	221,452,907	176,032,625	90,970,428	488,455,960
Contribution arrears *	44,204,415	69,498,155	519,433,488	633,136,058
Rental arrears*	200,784	5,232,715	44,024,604	49,458,103
Group Life Assurance contribution arrears	-	-	1,774,608	1,774,608
Other	-	1,166,347	3,889,834	5,056,181
TOTAL ASSETS	1,217,870,674	1,603,630,644	1,831,895,389	4,653,396,707
LIABILITIES				
Reserves	1,216,089,614	1,546,124,128	1,102,855,672	3,865,069,414
Provisions	573,975	1,590,729	609,425,921	611,590,625
Deffered pension benefits	-	15,868,563	94,686,821	110,555,383
Arrear pension benefits	-	4,928,737	67,378,076	72,306,813
Unclaimed Benefits	-	10,665,072	17,986,513	28,651,585
Sundry Creditors	23,266	9,328,547	19,761,358	29,113,172
Withdrawals	-	10,576,598	1,715,219	12,291,817
Other Creditors	1,183,819	4,548,270	122,266,970	127,999,059
TOTAL LIABILITIES	1,217,870,674	1,603,630,644	2,036,076,550	4,857,577,868
DIFFERENCE	0	(0)	(204,181,161)	(204,181,162)

**Annexure 3: Consolidated Statement of Comprehensive Income for Insured Schemes per Insurer
for the 9 months ended 30 September 2018**

	CBZ Life Assurance Company	Fidelity Life Assurance	First Mutual Life Assurance Company	Old Mutual Life Assurance Company	ZB Life Assurance Company	Zimnat Life Assurance Company	Total
Income							
Year to date Contributions (Including arrears interest)	49,260	4,207,812	6,402,954	45,797,324	1,207,860	6,326,401	63,991,611
Transfer / (to) from other funds	40,353	-	18,099	-	(244,584)	49,586	(136,546)
Rental Income		14,856	-	-	110,344	611,780	736,980
Interest from Investments		358,872	43,472	2,892,294	271,873	1,054,994	4,621,505
Dividends from investments		-	-	308,756	207,514	578,845	1,095,116
GLA Premiums received (paid)	5,135	(4,502)	260,675	(3,392,706)	-	(631,862)	(3,763,260)
Profit/(Loss) on Disposal of investments			(49,132)			3,855,840	3,806,708
Other Income (specify) - FV adjustments	3,709			41,784,697	572,629	1,155,989	43,517,024
Total Income	98,457	4,577,038	6,676,069	87,390,365	2,125,636	13,001,573	113,869,138
Expenditure							
Benefits to members							
Year to date monthly pension benefits		5,587	226,444	11,601,393		18,678	11,852,102
Retirements, retrenchments			891,216	-	94,640	380,867	1,366,723
Full commutations paid		1,780,019		18,857,766	872,866	511,647	22,022,298
withdrawals			654,791	17,971,837		1,813,868	20,440,496
Deaths						71,361	71,361
Other benefits	5134.8		264,051	3,370,105	100,624		3,739,914
Sub-total	5,135	1,785,606	2,036,502	51,801,101	1,068,129	2,796,421	59,492,894
Other Expenses							
Staff costs							-
Admin Expenses	5,275.37	163,159	304,462	3,061,151	91,920	1,507,660	5,133,627
Investment Management Expenses			56,221		275,014	812,044	1,143,280
Actuarial fees			2,500			6,294	8,794
Audit fees						22,879	22,879
IPEC Levies		68,409	11,350	41,700.06		101,468	222,928
Bank Charges			319			30,638	30,956
Sundry expenses			44,675	739,170.77		-	783,846
Subscriptions i.e. ZAPF				37,754		25,187	62,941
Property Expenses						110,687	110,687
Transfer to reserves	86,307.04		4,061				90,368
Sub-total	91,582	231,568	423,588	3,879,776	366,934	2,616,858	7,610,306
Total Expenditure	96,717	2,017,175	2,460,090	55,680,876	1,435,063	5,413,279	67,103,200
Net Income	1,740	2,559,863	4,215,979	31,709,488	690,573	7,588,294	46,765,937

Annexure 4: Consolidated Statement of Financial Position for Insured Schemes per Insurer as at 30 September 2018

	CBZ Life Assurance Company	Fidelity Life Assurance	First Mutual Life Assurance Company	Old Mutual Life Assurance Company	ZB Life Assurance Company	Zimnat Life Assurance Company	Total
ASSETS							
Investment Assets (Non- Current)							
Investment Property		6,208,428		228,939,849	1,268,940	13,299,447	249,716,664
Equities - Quoted		3,600,796	965,285	619,005,901	11,413,268	27,465,314	662,450,564
- Unquoted		9,477,226	-		2,258,371	4,401,310	16,136,907
Prescribed Assets - Government Stock		-	-		1,750,040		1,750,040
- Other prescribed assets		17,462,387	1,003,061		-		18,465,448
Fixed interest securities			-		14,523		14,523
Loans and Mortgages on Property (excluding staff)			-		-		-
Staff loans and Mortgages			-		157,732		157,732
Long-term deposits			1,977,116		978,789		2,955,905
Other(specify)	98,343				266,442		364,784
Total Non-Current Investments	98,343	36,748,837	3,945,462	847,945,751	18,108,105	45,166,070	952,012,568
Investment Assets (Current)							
Prescribed Assets - Government Stock				14,937,965			14,937,965
- Other prescribed assets				81,525,035		15,912,602	97,437,637
Fixed interest securities				-			-
Cash at Bank			9,423	18,175,333		(40,085)	18,144,671
Money Market investments		804,219	1,016,338	23,969,462	2,001,958	16,703,344	44,495,321
Staff loans							-
Dividends and interest receivable						0	0
Other (Specify)			46,339,588			97,724	46,437,312
Total current investment assets	-	804,219	47,365,349	138,607,795	2,001,958	32,673,586	221,452,907
Contribution arrears *	1,739	2,474,334		41,238,134		490,208	44,204,415
Rental arrears*						200,784	200,784
TOTAL ASSETS	100,082	40,027,390	51,310,811	1,027,791,680	20,110,063	78,530,648	1,217,870,674
LIABILITIES							
Reserves	100,082	40,027,390	51,310,811	1,027,791,680	20,086,796	76,772,855	1,216,089,614
Provisions						573,975	573,975
Deferred pension benefits							-
Arrear pension benefits							-
Sundry Creditors					23,266		23,266
Withdrawals							-
Other Creditors (specify)						1,183,819	1,183,819
TOTAL LIABILITIES	100,082	40,027,390	51,310,811	1,027,791,680	20,110,063	78,530,648	1,217,870,674

Annexure 5: Consolidated Statement of Comprehensive Income for Self-Administered Pension Funds for the 9 Months ended 30 September 2018

	Capitol Insurance Brokers	Comarton Consultants	Fidelity Life Assurance Company	First Mutual Life Assurance	Marsh Employee Benefits	Mineva Benefits Consulting	Nyaradzo Life Assurance Company	Old Mutual Life Assurance Company	Zimbabwe Insurance Brokers	Zinnat Life Assurance Company	Total
Income											
Year to date Contributions (Including arrears)		7,168,460.21		11,326,787.28	13,291,225.21	24,805,809.00	1,041,558.72	24,478,251.00	111,223.12	566,464.77	82,789,779.31
Interest on contribution arrears		-		17,120.07				1,549,392.00			1,566,512.07
Transfer from other funds		605,035.44		-	391,239.07	4,318,808.00		1,715,694.00		1,543.00	7,032,319.51
Rental Income	20,000.00	654,600.39		294,306.18	1,935,253.20	2,297,901.00	3,270.00	6,516,697.00	1,736.04	641.00	11,724,404.81
Interest from investments		2,134,009.02	8,940.96	254,993.82	3,101,958.93	4,775,148.00	120,861.79	4,877,653.00	7,695.96	22,283.00	15,303,544.48
Dividends from investments		902,894.90	7,816.95	457,601.31	3,175,875.02	7,255,885.00	85,254.41	949,280.00	4,684.85	44,847.00	12,884,139.44
GLA Premiums received (paid)			-	-	413,485.85	197,146.00	-		(2,771.87)		607,859.98
Profit/ (loss) on disposals investments		1,650,222.11	(179,677.66)	6,111,345.75	8,581,487.33	16,035,927.00				344,431.00	32,543,735.52
Fair value gains (Losses)						24,144,427.00		23,113,350.00		1,693,969.35	48,951,746.35
Other				7,797.43	231,388.28	21,894.00	108,567.30	3,700,626.00			4,070,273.01
Total Income	20,000.00	13,115,222.07	(162,919.75)	18,469,951.84	31,121,912.89	83,852,945.00	1,359,512.22	66,900,943.00	122,568.10	2,674,179.12	217,474,314.48
EXPENDITURE											
Benefits											
Year to date pension benefits	6,520.17	2,079,627.89		32,352.36	3,065,397.24	4,151,763.00		621,849.00			9,957,509.66
1/3 Commutations paid		715,790.16		6,365,472.46	4,780,423.59	8,415,340.00		9,861,226.00			30,138,252.21
Full/part commutations paid after 1/3 commutations		495,480.03	59,101.94		5,439,054.38	557,671.00				13,947.98	6,565,255.33
resignations, dismissals		3,040,789.06				4,093,676.00		4,640,780.00	1,826.68	612,716.08	12,389,787.82
Death benefits		154,691.02				587,777.00		2,412,505.00	1,839.40		3,156,812.42
Others:1)Specify		713,649.72		738,949.65	1,249,722.20	1,328,832.00		1,374,873.00			5,406,026.57
Total Benefits	6,520.17	7,200,027.88	59,101.94	7,136,774.47	14,534,597.41	19,135,059.00	-	18,911,233.00	3,666.08	626,664.06	67,613,644.01
Administrative Expenses											
Deductions by NEC											-
Staff costs											-
Admin Expenses	2,000.00	753,055.11		266,343.57	759,448.95	1,692,004.00	108,567.30	879,652.00	6,797.17	26,742.55	4,494,610.65
Investment Management Expenses		572,134.17	6,352.94	276,547.81	2,006,998.46	4,136,123.00	43,665.78	2,722,532.00	5,676.33	62,244.00	9,832,274.49
Actuarial fees		51,191.17		999.99	130,275.98	150,834.00	3,800.00	5,000.00		2,850.00	344,951.14
Audit fees		40,453.53	2,800.00	16,425.80	105,004.21	179,078.00	8,302.50	73,906.00		3,725.00	429,695.05
Legal fees		50,306.40			4,509.26	-	-	40,658.00			95,473.66
Board Fees		106,666.74			14,062.50	-	1,020.00	23,795.00		-	145,544.24
IPEC Levies		18,014.82	3,717.00	55,257.56	47,086.40	81,478.00		142,617.00	1,036.03	1,668.00	350,874.81
Bank Charges	200.00	32,411.09	445.71	4,771.68	32,637.58	122,256.00	5,922.19	7,918.00	1,316.65	725.00	208,603.90
Sundry expenses		2.50	780.00		224,421.76	542,827.80		-			768,032.06
Subscriptions i.e. ZAPF		23,599.00		4,120.00	8,891.83	124,758.00	3,160.00	15,872.00		6,660.00	187,060.83
Property Expenses	8,730.00	104,220.66		8,388.50	182,844.47	1,254,954.00		565,698.00			2,124,835.63
Transfer to reserves		2,126.00			1,169,142.40	-					1,171,268.40
Loss/(profit) on disposal of assets (specify)		-			-						-
Provision for bad debtors											-
Others:1)Specify		68,224.43	3,292.87	153,149.24	4,892.26	100,911.00		184,318.00		8,446.00	523,233.80
Total Administrative Expenditure	10,930.00	1,822,405.62	17,388.52	786,004.15	4,690,216.06	8,385,223.80	174,437.77	4,661,966.00	14,826.18	113,060.55	20,676,458.66
Total Expenditure	17,450.17	9,022,433.50	76,490.46	7,922,778.63	19,224,813.47	27,520,282.80	174,437.77	23,573,199.00	18,492.26	739,724.61	88,290,102.67
Surplus / (Deficit)	2,549.83	4,092,788.57	(239,410.21)	10,547,173.21	11,897,099.42	56,332,662.20	1,185,074.45	43,327,744.00	104,075.84	1,934,454.51	129,184,211.81

Annexure 6: Consolidated Statement of Financial Position for Self-Administered Pension Funds as at 30 September 2018

	Capitol Insurance Brokers	Comartion Consultants	Fidelity Life Assurance Company	First Mutual Life Assurance	Marsh Employee Benefits	Minerva Benefits Consulting	Nyaradzo Life Assurance Company	Old Mutual Life Assurance Company	Zimbabwe Insurance Brokers	Zimnat Life Assurance Company	Total
ASSETS											
Operating Assets											
Property											-
Motor vehicles				48,000.00							48,000.00
Furniture and equipment											-
Computer Systems											-
Other (Specify)											-
Total operating assets	-	-	-	48,000.00	-	-	-	-	-	-	48,000.00
Investment Assets (Non- Current)											
Investment Property	800,000.00	21,468,744.97	1,191,343.89	23,975,498.17	55,465,002.52	92,854,569.00	95,044.50	57,917,275.58	45,226.07	494,499.00	254,307,203.70
Equities - Quoted	65,738.35	61,939,343.76	266,225.81	38,675,484.29	164,499,081.33	312,188,121.00	6,910,926.73	170,147,033.43	165,171.20	5,037,846.57	759,894,972.47
- Unquoted		84,034.75		1,912,794.86	1,213,855.79	2,954,899.00	10,655.97	2,616,633.02	-	40,890.79	8,833,764.18
Prescribed Assets - Government Stock		3,342,728.28	77,564.91	308,017.80	35,722,222.41	-	1,421,515.39	446,426.00	24,366.38	905,932.01	42,248,773.18
- Other prescribed assets		11,824,520.04	29,906.01	1,748,726.30	-	64,747,504.00	341,703.98	109,050,193.53	-	-	187,742,553.86
Fixed interest securities e.g. bonds & debentures		222,327.31		-	5,316,441.62	9,665,762.00	6,535.57	715,199.00	2,750.00	-	15,929,015.50
Loans and Mortgages on Property (excluding staff)		1,262.02		-	914,655.29					20,000.00	935,917.31
Staff loans and Mortgages				-	1,446,114.55	1,100,456.00					2,546,570.55
Long-term deposits		112,832.79		19,704.80	-					1,452.00	133,989.59
Guaranteed Fund				15,193,776.97	9,817,810.00	17,879,665.00					42,891,251.97
Other(Specify)		30,802.00			202,821.81		35,700.00	35,915,661.00	3,804.77		36,188,789.58
Total non-current investment assets	865,738.35	99,026,595.92	1,565,040.62	81,834,003.19	274,598,005.32	501,390,976.00	8,822,082.14	376,808,421.56	241,318.42	6,500,620.37	1,351,652,801.88
Investment Assets (Current)											-
Prescribed Assets - Government Stock		-				-			77,495.82	738,919.00	816,414.82
- Other prescribed assets		4,353,068.48				-		2,418,314.00	-		6,771,382.48
Fixed interest securities		187,881.61				-		-	-		187,881.61
Cash at Bank	2,000.00	7,298,060.67	40,514.31	5,015,409.41	3,353,987.23	5,768,945.00	424,162.81	5,044,105.52	15,786.58	267,771.86	27,230,743.39
Money Market investments		13,177,304.54	50,167.53	2,330,381.74	14,460,930.75	32,670,151.00	2,116,845.11	34,816,787.36	36,697.08	839,963.18	100,499,228.29
Staff loans		22.82			4,172.47	-	-	-			4,195.29
Dividends and interest receivable		130,484.77		267,886.00	1,561,106.54	738,941.00	-	378,751.00			3,077,169.31
Other (Specify)		153,884.31		30,559,232.31	412,985.58	617,210.00	15,112.03	5,687,186.00			37,445,610.23
Total current investment assets	2,000.00	25,300,707.20	90,681.84	38,172,909.46	19,793,182.57	39,795,247.00	2,556,119.95	48,345,143.88	129,979.48	1,846,654.04	176,032,625.42
Contribution arrears *	135,653.80	22,092,566.43	1,822,372.67		10,902,541.28	4,516,837.00	20,090,127.70	9,193,290.00	711,061.24	33,705.00	69,498,155.12
Rental arrears*	113,960.00	811,764.16			316,985.52	1,501,415.00		2,488,590.00			5,232,714.68
Group Life Assurance contribution arrears											
Other (Specify)								1,166,347.00		-	1,166,347.00
TOTAL ASSETS	1,117,352.15	147,231,633.71	3,478,095.13	120,054,912.65	305,610,714.69	547,204,475.00	31,468,329.79	438,001,792.44	1,082,359.14	8,380,979.41	1,603,630,644.12
LIABILITIES											
Reserves	960,796.52	144,827,972.61	3,478,095.13	105,741,423.23	283,531,755.45	531,431,207.00	31,468,329.79	435,364,229.44	999,465.01	8,320,853.41	1,546,124,127.59
Provisions	55,867.61	114,842.59			374,565.18	353,756.00		691,698.00			1,590,729.38
Deferred pension benefits		-			15,850,257.74			18,305.00			15,868,562.74
Arrear pension benefits	28,464.83	-			1,576,972.31	3,018,436.00		226,427.00	78,436.65		4,928,736.79
Unclaimed Benefits											-
Sundry Creditors	72,223.19	2,288,818.51		1,759,121.96	1,673,270.09	2,751,661.00		718,869.00	4,457.48	60,126.00	9,328,547.23
Withdrawals				10,665,071.87	2,221,854.23	7,494,081.00		860,663.00			21,241,670.10
Other Creditors (specify)				1,889,295.58	382,039.71	2,155,334.00		121,601.00			4,548,270.29
TOTAL LIABILITIES	1,117,352.15	147,231,633.71	3,478,095.13	120,054,912.65	305,610,714.71	547,204,475.00	31,468,329.79	438,001,792.44	1,082,359.14	8,380,979.41	1,603,630,644.12

Annexure 7: Consolidated Statement of Comprehensive Income for Stand-Alone Pension Funds for the 9 months ended 30 September 2018

PENSION FUND	Catering Industry	Clothing Industry	Construction Industry	Communications and Allied Industry	GMB	Local Authorities	Motor Industry	Mining Industry	NRZ	ZARWU	Pentac Pension Scheme	Unified Councils	ZB Financial Holdings	ZMDC	Electricity Industry	Zimbabwe	Zesa Staff	Total
INCOME																		
Year to date Contributions (Including arrears)	1,625,053	985,206.90	2,825,328.63	7,473,503	772,539	21,152,357	3,929,332	21,347,939	8,288,710	17,397	6,807	2,558,885	1,025,483	141,152	16,114,909	6,237,786		94,502,386
Interest on contribution arrears		-	171,813.27	2,913,499	384,272	837,752		7,308,630	1,174,656			1,432,420	-	-	7,423,675	1,101,833		22,748,550
Transfer from other funds	5,119	-			-	-		(7,560)					(73,353)	78,660				2,866
Rental Income (including arrears and interest on arrears)	643,206	885,260.33	715,118.47	4,794,006	45,585	6,289,922	802,914	3,474,276	8,852,078	8,400		151,190	249,743	18,966	794,858	1,243,816		28,969,340
Interest from Investments	74,120	30,068.27	264,018.78	1,400,531	15,329	122,152	847,197	612,012	2,318,864	1,492	14,326	5,030	286,324		4,753,428	496,884		11,241,776
Dividends from investments	295,309	60	133,455.43	284,127	957	1,199,392	421,203	2,657,560	509,800			125	223,731		225,957	328,057		6,279,733
Profit on sale of shares	51,862	1,014					804,225											857,101
GLA Premiums received (paid)					130,119		(110,881)	(33,260)		(756)								(14,778)
Other Income (unrealised profit)							2,505,120											2,505,120
Other Income (profit on disposals)					2,095		(214,712)		2,899,056									2,686,439
Other Income (Guaranteed Fund Bonus)		(43,313)					403,247						553,465					913,399
Other Income	7,946	4,906	1,278,692	270,587.42	133,966		584,206	2,654,395	1,882,010					2,905				6,819,614
TOTAL INCOME	2,702,615	1,863,203	5,388,427	17,136,252	1,484,863	29,601,575	9,971,851	38,013,992	25,925,173	27,289	20,377	4,147,650	2,265,393	241,684	29,312,827	9,408,376		177,511,546
EXPENDITURE																		
Benefits Paid																		
Year to date monthly pension benefits	141,373		94,427	7,528,324.36	29,713	8,918,031	75,607	6,941,400	14,902,495	6,511		88,843	258,862	26,688	488,968	6,250,933		45,752,176
Retrenchments and retirements	-		1,151,665	1,466,337.97		6,593,251	280,466	3,046,543	1,641,944			89,187	29,216		1,449,674	231,561		15,979,845
Withdrawals (resignations and dismissals)				643,720.44								368,528	149,166					1,161,415
Full/ Part commutations after 1/3	101,755	438,973			25,732	1,228,042	1,081,900	122,951		1,459			25,741					3,026,553
Death benefit			60,418	195,405.31			88,547	288,086	190,045			281,521						1,104,022
Other benefits	404,489	-	(13,670)		4,901		1,019,567		193,082			138,322		51				1,746,743
Total Benefits Paid	647,617	438,973	1,292,841	9,833,788	60,346	16,739,324	2,546,087	10,398,980	16,927,566	7,970	-	966,402	462,985	26,739	1,938,642	6,482,494		68,770,754
Deductions by NEC																		
Staff costs	279,271	270,072.44	617,183	634,292.73	243,800	762,472	525,739	2,276,504	939,765			52,122			679,228	422,497		7,702,946
Admin Expenses	415,996	93,693.05	526,528	175,949.62	111,596	432,687	315,552	916,176	422,707	3,763		335,256		1,250	68,967.00	5,634		3,825,755
Investment Management Expenses	26,843	5,450.52	46,811	-	-	-	221,896	137,626	200,024				95,469	90	33,353.00	53,875		821,438
Actuarial fees	13,500	4,875.00	38,255	-	4,096	7,410	7,100	11,802	9,350				33,760	-	15,025.00	1,600		746,773
Audit fees	13,500	6,891.75	4,434	15,870.00	2,337	7,151	11,165	40,848	17,850			7,325	6,038	-	17,763.00	6,691		157,864
Legal fees	9,206	21,785.56	16,361	46,803.74	4,566	79,266	3,326	2,405	12,485			-	-	-	-	-		196,204
Board expenses	10,746	7,100.00	58,146	64,541.81	57,987	150,836	58,998	99,360	237,712			40,837		-	116,125.00	56,123		958,512
IPEC Levies	18,375	14,389	28,391	19,869.80	14,937	34,514	31,917	37,551	83,300	2,535	222	24,591	19,649	1,500	9,014.00	6,218		346,974
Bank Charges	5,904	5,679	9,782	46,669.12	31,249	25,599	5,541	92,052	142,883	306		197	276	172	16,714.00	40,224		423,247
Subscriptions i.e. ZAPF	1,500	1,785	5,769	9,591.48	880	1,260	2,852	17,054	1,680			1,680	1,680	780	-	1,680		48,191
Property Expenses	298,817	225,173	284,579	451,708.93	4,886	397,350	19,336	1,443,613	2,177,257			7,550	7,299	4,910	1,680.00	145,633		5,469,792
Revaluation/depreciation/ammortisation Expenses		-			4,500	-	-		2,000			-	-		337,006.00			343,506
Transfer to reserves		164,201			-	-						-						164,201
Provision for bad debts					-			13,444,478				-						13,444,478
Other expenses:1)Specify				1,180,239		23,606							20,025					1,223,870
Total Fund Administration expenses	1,093,658	821,096	1,637,885	2,645,537	480,834	1,922,151	1,203,422	18,519,469	4,248,153	6,604	222	469,558	184,196	8,702	1,294,875	740,175		35,276,537
TOTAL EXPENDITURE	1,741,275	1,260,068	2,930,725	12,479,325	541,180	18,661,475	3,749,509	28,918,449	21,175,719	14,575	222	1,435,960	647,181	35,441	3,233,517	7,222,669		104,047,290
SURPLUS/(DEFICIT)	961,340	603,134	2,457,701	4,656,928	943,682	10,940,100	6,222,342	9,095,543	4,749,454	12,715	20,154.22	2,711,690	1,618,212	206,243	26,079,310	2,185,707		73,464,255

Annexure 8: Consolidated Statement of Financial Position for Stand-Alone Pension Funds as at 30 September 2018

FUND	Catering Industry	Clothing Industry	Construction Industry	Communications and Allied Industry	GMB	ZARWU	Local Authorities	Mining Industry	Motor Industry	NRZ	Pentact Pension Scheme	Unified Councils	ZB Financial Holdings	ZMDC*	Zimbabwe Electricity Industry	Zesa Staff	Total
ASSETS																	
Operating Assets																	
Property	243,330				600,000	236,780	-					220,000		1,574,000			2,874,110
Motor vehicles	109,881	16,987	28,679	663,148.27	-		257,151	623,930	93,764	247,594		94,220			262,340		2,397,694
Computer systems and equipment	300,739	34,981		153,716	5,497		119,669	156,070	151,358	45,666		28,155			26,907		1,190,498
Furniture and equipment	104,269		72,963	57,079.69	972		36,049	72,771	49,993						418,836	13,407	826,339
Other (Specify)	-					85,294				18,732							104,026
Total operating assets	758,219	51,968	255,358	887,969	606,469	322,074	412,868	852,771	295,115	311,992		342,375	-	1,574,000	708,083	13,407	7,392,667
Investment Assets (Non- Current)																	
Investment Property	9,375,087	11,930,000	22,477,449	104,740,000.00	8,825,000		48,593,871	102,041,428	16,552,485	216,470,000		7,308,112	5,046,761	1,536,004	42,362,498	18,295,673	615,554,368
Equities - Quoted	5,123,872	1,396,055	4,016,892	15,797,704.39	987		17,806,667	126,616,502	22,624,300	28,959,697	14,509	17,222	10,709,538	129,423	12,664,628	15,183,429	261,061,425
- Unquoted		-	5,705,094	10,480,970.88	-		9,353,743	7,061,394	347,993	183,850		-	33,173	-	4,052	58,508	33,228,778
Prescribed Assets - Government Stock	2,327,862	-			-		400,000	2,232,211	2,725,353	132,356		-	3,362,647	-	14,276,906	5,838,558	31,295,893
- Other prescribed assets		639,653	1,502,090	6,938,563.67	-				5,682,321	5,406,701		193,806	607,184	-	8,793,494		29,763,812
Fixed interest securities e.g. private bonds	-	-		949,185.89	-			4,219,949	123,868	128,648		-	116,915	100,000	555,341		6,193,907
Loans and Mortgages on Property (excluding staff)	-	-			551,885				886,656	3,582,315		-	889,374		23,557,765		29,467,995
Staff loans and Mortgages	-	-	350,742	5,159,240.81					65,558	488,939		231,509			102,739		6,398,728
Other loans	-	-	147,591														147,591
External Assets										104,085,354							104,085,354
Shares in property company																	-
Other (Loans to employer)										31,716,154							31,716,154
Long-term deposits								2,927,166	5,536,777				3,259,794				11,723,737
Other		3,430,332									341,685						3,772,017
Total non-current investment assets	16,826,821	17,396,039	34,199,858	144,065,666	9,377,872	-	76,154,281	245,098,649	54,545,311	391,154,016	356,194	7,750,649	24,025,386	1,765,427	102,317,423	39,376,168	1,164,409,760
Investment Assets (Current)																	
Prescribed Assets - Government Stock								1,074,261		1,800,000		1,728					2,875,989
- Other prescribed assets					690,310							77,168					767,478
Fixed interest securities																	-
Cash at Bank	600,628	39,923	302,439	388,601.90	482,699	4,068	705,642	795,303	90,562	5,085,619		15,469	318,997	16,075	7,340,928	1,688,382	17,875,337
Money Market investments	80,311	2,296,328	252,873	3,224,038.96				13,847,247	3,476,304	3,180,000			4,874,465	129,423	24,692,552	3,244,561	59,298,104
Staff loans	900	-						384,732	18,475	4,860		216,015			52,389	-	677,371
Dividends and interest receivable		9,917		240,004.28			387,574	470,649	34,428			5,281	8,030		1,212,220	116,534	2,484,637
Other (Specify)	126,540		-	124,257.30	79,170	88,450	52,570	46,557	607,111	152,344			641,362		4,561,830	511,320	6,991,511
Total current investment assets	808,379	2,346,168	555,313	3,876,902	1,252,179	92,518	1,145,786	16,618,750	4,226,860	10,222,824	-	315,661	5,842,854	145,498	37,859,919	5,560,797	80,970,428
Contribution arrears *	5,664,021	6,398,794	2,759,456	42,728,745.88	4,052,096		198,520,717	122,954,128	5,226,692	21,492,419		29,161,597	3,284,290		68,186,477	9,004,054	519,433,488
Rental arrears*	571,503	817,089	873,763	13,431,437.47	38,699		9,486,749	7,260,377	64,235	9,684,676		106,177	19,335	262,181	198,368	1,209,954	44,024,604
Other			2,162,674					1,305,201	419,755					2,204			3,889,834
Group Life Assurance contribution arrears					1,774,608												1,774,608
TOTAL ASSETS	24,628,943	27,010,059	40,806,421	205,090,720	17,101,923	414,592	285,720,401	394,089,875	64,778,048	432,865,927	356,194	37,676,460	29,887,575	7,033,600	209,270,270	55,164,380	1,831,895,389
LIABILITIES																	
Reserves	19,014,008	9,310,343	38,403,243	141,239,983	3,010,736	409,779	72,206,511		63,304,248	426,103,251	354,333	36,756,563	29,830,563	3,411,470	206,029,398	53,471,244	1,102,855,672
Provisions	5,499,432.23	13,470,443	1,355,678	24,125,797	7,867,156		193,801,862	357,620,569	806,410.00	1,912,680			17,383	2,948,511			609,425,921
Deferred pension benefits		533,364		32,956,326.00	396,052			60,801,079									94,686,821
Arrear pension benefits		-			3,515,804		50,417,409	12,549,057		277,154			39,629	579,023			67,378,076
Unclaimed Benefits		3,141,994			-			11,622,749		3,009,012				212,757			17,986,513
Sundry Creditors	8,750	133,370	891,532	6,768,615.15	1,863,053	4,814		3,052,434	109,308	1,563,830	1,861	716,213	810,753	3,240,872	585,953		19,761,358
Withdrawals		420,545			449,122				558,082.00			191,498		95,972			1,715,219
Others	106,753		155,968									12,185				1,097,183	122,266,970
TOTAL LIABILITIES	24,628,943	27,010,059	40,806,422	205,090,721	17,101,923	414,592	316,425,782	445,645,888	64,778,048	432,865,927	356,194	37,676,459	29,887,575	8,058,487	209,270,270	55,164,380	2,036,076,550
NET ASSETS AVAILABLE FOR BENEFITS	-	1	(0)	(0)	0	-	(30,705,381)	(51,556,013)	(0)	0	-	0	-	(1,024,887)	-	-	(204,181,161)